conservative and was backward in Indianization. Deshmukh observed that conservatism was only prudent banking and that the Imperial Bank was not 'much worse' than some of the other major scheduled banks. As regards the second charge, Deshmukh stated that the bank had stopped European recruitment some years ago, and that by 1954 only nine or ten European officers were expected to be left in the bank which could not be termed as excessive. His view was that the government should hasten slowly and 'not bite more than we can chew'.[11] Deshmukh observed: 'If there is to be nationalization of the banking system, it ought to apply to the system as a whole and not only to one unit, however important that unit may be. I think even a casual acquaintance with the Indian scene, would compel an observer to agree that the conditions in India did not call for such a kind of nationalization at the present stage.'[12]

Deshmukh considered that instead of nationalization it should be ascertained 'more painstakingly and accurately where exactly the present institution is going wrong and calling it to account'. Also, when business and commerce, to a large extent, were to remain within the private sector, it was not necessary that the main part of the banking system should be run as a nationalized institution.

Notwithstanding these views, the government considered the assurance given in February 1947, binding upon themselves, and proceeded to nationalize the bank. The Central Board of the bank opposed nationalization initially, but once it found that the government's decision was irrevocable, it extended full co-operation in implementing it. In reply to a question by Mohan Lal Saksena in the Legislative Assembly, on February 4, 1948, the Finance Minister stated that government proposed to take steps to see that the nationalization of the Reserve Bank was effected as soon as possible after September 30, 1948, when the bank was to cease to be the common banker to India and Pakistan. The government's intention was to acquire the shares at the average of the monthly market value of the shares during the period March 1947 to February 1948, taking the opening quotations for each month and 3 percent long-dated stock of equivalent value of appropriate maturity was to be issued in exchange.

In respect of the Imperial Bank also, the Finance Minister mentioned that the government accepted the policy of nationalization, but as that bank had branches outside India, government wanted to examine carefully the